UNITED STATES SECURITIES AND EXCHANGE COMMISSION
Philadelphia Regional Office — Office of Compliance Inspections and Examinations

Memorandum of Telephone Conference

Examination: 2011-0447 — Marchwood Asset Management LLC (SEC File No. 801-64719)
Date and time: June 1, 2011, 2:00 p.m. – 2:52 p.m. Eastern
Prepared by: D. Whitlatch, Senior Examiner
Date prepared: June 1, 2011

Participants

For the staff	For the registrant
R. Achterberg, Branch Chief	M. Vasseur-Kyle, Chief Compliance Officer
D. Whitlatch, Senior Examiner	A. Penhaligon, Managing Member
P. Raghunathan, Examiner	W. Tirado, Tirado Hobbs LLP

Subject: Item 4 of the deficiency letter of April 20, 2011 (custody, Rule 206(4)-2)

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1. Registrant's position

Mr. Tirado restated the position in the registrant's interim response of May 19. He argued that the Adviser never holds client assets, that the destination of any debit is fixed by the advisory agreement, and that the amount is determined by a published fee schedule. He asked the staff to consider whether the arrangement is materially different from an invoice the client instructs its own custodian to pay.

2. Staff's position

Ms. Achterberg said the staff was not asking the registrant to concede the legal question. The staff's position is as stated in the deficiency letter: Rule 206(4)-2(d)(2)(ii) turns on the existence of authority to instruct the custodian, not on the amount or destination, and the exception at paragraph (b)(3) reaches only custody arising solely from the authority to withdraw the advisory fee, which is not how Section 6(c) is drafted. She said the staff was interested in what the registrant would do going forward, and that whether the registrant agreed with the staff's reading of the rule was a separate matter from whether the staff could close the examination.

3. What the registrant agreed to

Mr. Penhaligon asked what would be sufficient. Ms. Achterberg and Mr. Whitlatch described three elements. The registrant agreed to all three on the call:

1. **Move the accounts.** The 214 accounts identified in Item 4 move to a qualified custodian unaffiliated with the Adviser, under custodial agreements that give the Adviser no authority to withdraw funds or securities. Ms. Vasseur-Kyle said Signal Peak Trust

Company had been selected in April and that the transfers of all 214 accounts completed effective today.
2. **Stop the practice.** The direct fee-debit instruction is discontinued firm-wide and not resumed.
3. **Carry it forward.** The same treatment applies to advisory accounts the Adviser acquires or onboards in the future, and the Adviser obtains the surprise examination required by paragraph (a)(4), with the corresponding Form ADV-E filing, for any period in which it is deemed to have custody.

Mr. Whitlatch said explicitly that the third element was the one the staff cared most about, because the registrant grows by acquisition and a remediation scoped to the examination period would leave the same exposure on the next book it bought. Mr. Tirado did not object to the third element.

4. Disposition

Mr. Tirado asked whether an undertaking in those terms would close the examination. Ms. Achterberg said it would, subject to the registrant's letter actually saying so, and that the staff would want the undertaking to be in the registrant's own words rather than in a form supplied by the staff.

Ms. Vasseur-Kyle said she would deliver the letter this week. She also stated that Quillen and Marsh LLP had been engaged to perform a surprise examination for calendar year 2011, and that the registrant accepted that the calendar year 2010 examination could not now be performed.

5. Follow-up

- Await the registrant's letter on Item 4.
- On receipt, prepare the closing recommendation. Disposition code C-4 (closed on registrant undertaking) and a follow-up flag for the next examination cycle.

D. Whitlatch